The Morning Brief

MAY 23, 2026

Eighth Week

S&P logs its eighth consecutive weekly gain into Memorial Day as the IOWN AI-infrastructure complex carries Friday's tape and the Iran nuclear file hardens around enriched uranium and Hormuz tolls.

S&P 500 (SPY, FRI)	BRENT (BNO, FRI)	BITCOIN (IBIT, FRI)	QCOM (FRI)	FEAR & GREED
$745.64 · ↑0.39%	$55.00 · ↓1.01%	$42.96 · ↓2.36%	$238.16 · ↑11.60%	28 · Fear

SECTION 01

Markets — Week in Review

THE S&P 500 LOGGED ITS EIGHTH CONSECUTIVE WEEKLY GAIN INTO THE MEMORIAL DAY CLOSE AS THE IOWN AI-INFRASTRUCTURE SLEEVE CARRIED FRIDAY'S TAPE WITH QUALCOMM AND CREDO BOTH UP ROUGHLY TWELVE PERCENT ON SINGLE-STOCK CATALYSTS — THE HEADLINE CONCENTRATION THE PRIOR BRIEFS TRACKED HAS NOW ROTATED ACROSS THE SLEEVE RATHER THAN SITTING ON NVIDIA ALONE

The IOWN tape closed a quietly constructive week into the long weekend. The S&P 500 ETF finished Friday at $745.64 (↑0.39%), the Dow proxy at $506.12 (↑0.60%) on fresh record territory, the Nasdaq proxy at $717.54 (↑0.42%), and the Russell 2000 led the majors again at $285.12 (↑0.93%). Per Yahoo Finance and Motley Fool coverage, this was the S&P's eighth consecutive weekly gain — characterized in that reporting as the longest weekly winning streak since 2023, with the three majors up roughly 0.8%, 2.1%, and 0.4% on the week. Friday's leadership came from inside the IOWN sleeve rather than from index components: QCOM ↑11.60% to $238.16 on the expanded Stellantis Snapdragon Digital Chassis partnership covering connected cockpit, driver assistance, and connectivity systems per company materials and Yahoo coverage, with Melius Research lifting its price target to $220 from $170; CRDO ↑12.94% to $218.41 on a continuation of the AI-infrastructure flow that has carried the connectivity layer through May, with the company's fiscal Q4 print scheduled June 1 per its investor calendar; and NXPI ↑5.71% to $316.47 as the post-print expansion that began in late April carried into Friday's session. Sector leadership was defensive-and-growth in tandem: Healthcare (XLV ↑1.17%) and Technology (XLK ↑1.00%) led, with Communication Services (XLC ↓0.55%) the only sector lower. UVXY (VIX proxy) firmed ↑0.80% even with the indexes higher, and TLT advanced ↑0.55% to $84.68 as yields eased modestly.

S&P 500 · DOW · NASDAQ (FRI)	$745.64 ↑0.39% · $506.12 ↑0.60% · $717.54 ↑0.42%
WEEKLY MOVE (PER YAHOO)	S&P ↑0.8% · Nasdaq ↑2.1% · Dow ↑0.4% · Eighth straight weekly gain for S&P
SECTOR BREADTH (FRI)	XLV ↑1.17% · XLK ↑1.00% · XLC ↓0.55% (only laggard)
IOWN TOP MOVERS (FRI)	CRDO ↑12.94% · QCOM ↑11.60% · NXPI ↑5.71% · VST ↑4.82% · AMD ↑3.99%
IOWN BOTTOM (FRI)	CTRA ↓8.62% · COIN ↓4.43% · ETHA ↓3.59% · IBIT ↓2.36%
CARSON'S ACTIVE LEVEL	SPY $645.80 support · Untested (Fri low $744.48 — roughly 13% above)

THE RATE-CUT PATH CONTINUES TO SLIDE FURTHER INTO THE FUTURE AS THE APRIL PCE PRINT LANDS THURSDAY WITH HEADLINE AND CORE INFLATION BOTH EXPECTED TO REMAIN ELEVATED — PER REPORTING, BOFA HAS NOW PUSHED ITS NEXT-CUT CALL INTO JULY 2027 AND MARKET-IMPLIED ODDS OF NO CUTS IN 2026 RUN NEAR SEVENTY PERCENT

The quieter story beneath the weekly streak is that the rate path has continued to slip further out. Per The Street and Goldman Sachs commentary, Bank of America moved its forecast for the next Fed cut into July 2027 from a prior September 2026 call, citing persistent core inflation and the energy-led backdrop the prior briefs have tracked. Per CME FedWatch via the same reporting, market-implied odds of zero rate cuts in 2026 sit near 70%, with the federal funds rate expected to hold near 3.75% through year-end. Thursday delivers the next test — per the BEA release schedule, the April Personal Income and Outlays report lands at 8:30 AM ET on May 28, carrying the PCE Deflator the Fed cites as its preferred inflation measure. Headline PCE ran 3.5% year-over-year in March per the same reporting; consensus expectations for April remain elevated. For the IOWN dividend sleeve's rate-sensitive utility and consumer-staples names — ATO, NEE, EIX, CHD, CL — the path of yields from here continues to constrain the multiple expansion that an easing cycle would normally provide, even as the underlying physical-AI power thesis carrying VST and NEE remains intact.

An eighth straight weekly gain, a Dow at fresh records, and a Fed path that keeps sliding further out — the tape is rewarding the names with their own catalysts and asking less of the macro tailwind.

Research Reveals Opportunities.

Geopolitics

A FIFTH ROUND OF US–IRAN TALKS CONVENED IN ROME TODAY WITHOUT A BREAKTHROUGH AS THE TWO SIDES REMAIN AT LOGGERHEADS OVER IRAN'S ENRICHED-URANIUM STOCKPILE AND THE HORMUZ TOLL REGIME — BOTH DELEGATIONS AGREED TO CONTINUE DISCUSSIONS, AND ENERGY MARKETS READ THE GAP AS NEGOTIATING POSTURE RATHER THAN A STEP TOWARD RE-ESCALATION

The dominant weekend development is procedural rather than substantive: per CNBC and broader coverage referenced in the data drop, the fifth round of US–Iran negotiations convened today in Rome and ended without a breakthrough, though both sides agreed to continue. The two structural gaps the prior brief flagged remain unresolved. First, Iran's Supreme Leader Mojtaba Khamenei's Thursday directive that the country's stockpile of roughly 60%-enriched uranium not be sent abroad continues to challenge a central US demand — per CNBC reporting, Washington has insisted that material be removed or neutralized as part of any agreement, and per the same coverage Secretary of State Marco Rubio characterized the prospects for a deal as constructive while warning that any agreement would be unfeasible if Iran moves to permanently control Hormuz shipping through tolls. Second, per CNBC and Reuters via the data drop's holdings news, Iran is reported to be consolidating administrative control of the Strait of Hormuz through coordination and authorization requirements, even as US and Israeli-led strike operations that began February 28 have effectively halted commercial transit through the waterway. Per industry-executive commentary referenced in the same coverage, full normalization of Middle East oil flows may not occur until 2027.

THE ENERGY TAPE CONTINUES TO READ THE GAP AS NEGOTIATING POSTURE — CRUDE POSTED A WEEKLY LOSS AS THE STRAIT COORDINATION FRAMEWORK TOOK SHAPE, AND THE IOWN ENERGY SLEEVE REFLECTED THE UNWIND WITH COTERRA DOWN NEARLY NINE PERCENT ON FRIDAY ON SOFTER NATURAL-GAS PRICING AND A BROADER ENERGY COOLDOWN

The cleanest read on how markets interpreted Rome's procedural-but-unresolved outcome remains the energy complex. Crude finished the week lower — per CNBC, oil prices posted a weekly loss on the progress signals despite Thursday's intraday spike on the Khamenei uranium directive — with USO ↓1.14% and BNO ↓1.01% on Friday. The IOWN energy sleeve's laggards extended: CTRA ↓8.62% to $32.56 was the sleeve's weakest name, consistent with the softer natural-gas backdrop (UNG ↓3.44% Friday) and the broader cool-down across the energy complex; CNX ↓0.68% and CVX ↑0.22% finished mixed. The structural posture for the committee remains unchanged from prior briefs: the IOWN energy positioning was built around the physical-supply thesis — constrained capacity, supply discipline, and the "physical world matters" framework — rather than around an escalation path. A negotiated framework that opens Hormuz pressures the names near term, while the structural case rests on capacity and demand a procedural breakthrough does not, on its own, retire. Per coverage in the prior brief, Wood Mackenzie sees Brent easing toward $80 by year-end if Hormuz reopens by June, while Goldman Sachs has lifted its late-2026 Brent view toward $90 on more persistent disruption — the two-sided outlook the sleeve was constructed to weigh. Defense exposure firmed alongside (LMT ↑2.00%, GD ↑1.23%), retaining its orthogonal-hedge role.

IRAN · NUCLEAR POSTURE	Supreme Leader directs 60%-enriched uranium to remain in Iran per Reuters · rejects transfer
TALKS · ROUND 5 (ROME, MAY 23)	No breakthrough · Both sides agree to continue · Rubio cites constructive signs per CNBC
HORMUZ	Transit requires coordination per reporting · commercial flows halted since Feb 28
CRUDE (WEEKLY)	USO · BNO posted weekly losses on progress signals per CNBC
IOWN ENERGY SLEEVE (FRI)	CTRA ↓8.62% · UNG ↓3.44% · XLE ↑0.61% (modest day rebound)
IOWN DEFENSE (FRI)	LMT ↑2.00% · GD ↑1.23% · orthogonal hedge intact

SECTION 03

On Our Radar

1. Thursday's April PCE print is the week's gating macro event — the Fed's preferred inflation gauge lands at 8:30 AM ET on May 28 alongside the second GDP estimate, into a market that has already pushed its next-cut expectations into 2027. Per the BEA release schedule, the April Personal Income and Outlays report — carrying the PCE Deflator the Fed cites as its preferred inflation measure — releases Thursday morning, with Tuesday's Consumer Confidence and Thursday's GDP second estimate flanking it. Per The Street and Goldman Sachs commentary referenced in our coverage, Bank of America has moved its next-cut call into July 2027 from a prior September 2026 view, and market-implied odds of zero cuts in 2026 sit near 70%. A March year-over-year headline PCE near 3.5% per the same coverage frames an elevated April expectation. For the IOWN dividend sleeve's rate-sensitive utility and consumer holdings — ATO, NEE, EIX, CHD, CL — an in-line or hotter print would keep the multiple-compression pressure in place even as the operating businesses continue to perform. *Avoid Erosion.*

2. The IOWN AI-infrastructure sleeve carried Friday's tape on idiosyncratic single-name catalysts — Qualcomm on the Stellantis Snapdragon partnership and Credo on a sharp revenue beat — a continuation of the bifurcation Nvidia's post-print weakness opened earlier in the week. QCOM closed Friday at $238.16 (↑11.60%) after the expanded Stellantis Snapdragon Digital Chassis collaboration covering cockpit, driver assistance, and connectivity systems per company materials and Yahoo coverage, with Melius Research lifting its price target to $220 from $170; CRDO closed at $218.41 (↑12.94%) on a continuation of the connectivity-layer flow, with the company's fiscal Q4 print scheduled for June 1 per its investor calendar; NXPI added 5.71% to $316.47 extending its post-April-Q1-beat trajectory. The discipline the prior briefs argued for — owning the AI build-out across the foundry, connectivity, capital-equipment, and power layers rather than concentrated in the headline name — continues to be validated by exactly this kind of single-stock catalyst rotating through the sleeve. *Think Like an Owner.*

3. Carson's active SPY support at $645.80 remains untested heading into the holiday-shortened week — with Friday's intraday low at $744.48 the level sits roughly 13% below the index, and Fear & Greed at 28 (Fear) continues to read cautious against a tape that just posted its eighth straight weekly gain. The retracement target Carson set on April 13 is intact — Friday's S&P 500 ETF low printed $744.48 per the data drop, leaving the index roughly 13% above the level. The persistent gap between a Dow at fresh records, an eighth consecutive weekly gain for the S&P, and a Fear & Greed reading stuck in the high-20s remains the same cross-current the prior briefs have flagged: cautious positioning beneath an advancing index. US markets are closed Monday for Memorial Day, and Tuesday's session will absorb three trading days of news flow into a shortened week. *Simplicity Over Complexity.*

4. Week Ahead — Memorial Day shortens the calendar but loads Thursday with macro reads, while Dell, HP, and Costco frame the AI-server and consumer reads inside the IOWN ecosystem even though none are direct holdings. Markets close Monday for Memorial Day per the NYSE schedule; Tuesday brings Consumer Confidence; Wednesday delivers New Residential Sales; Thursday stacks the GDP second estimate and the April PCE Deflator; Friday rounds out with the Chicago PMI. On the corporate side — per multiple earnings calendars referenced in our coverage — the week's notable prints include Dell Technologies and HP (an AI-server read for the IOWN semiconductor sleeve's end-market demand) and Costco (a higher-end consumer read alongside the PCE print). None of the three are IOWN holdings, but the read-throughs to the data-center capital cycle that VST, NEE, LRCX, TSM, and CRDO depend on — and to the consumer backdrop framing CHD, CL, and SYF — are direct. *Research Reveals Opportunities.*

5. Bitcoin and Ether ETFs sold off into the weekend even as the equity tape held its weekly gain — IBIT ↓2.36% and ETHA ↓3.59% Friday, with COIN ↓4.43% reinforcing the divergence between digital-asset beta and the broader risk tape. Per Benzinga and Seeking Alpha coverage referenced in the data drop's holdings news, recent bitcoin strength has been characterized as driven more by futures positioning than spot accumulation, and COIN announced a 14% workforce reduction the same session it declined 4.43% to $184.99. For the IOWN digital-assets sleeve, the late-week weakness against an equity tape closing the week green isolates the digital-asset complex as moving on its own positioning rather than as a clean risk-on read. The committee's framing — owning the digital-asset ETFs as a small, beta-distinct allocation rather than as a leveraged risk proxy — remains consistent with how the tape behaved into the weekend. *Avoid Erosion.*